S.No.3

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH – 1
VC AND PHYSCIAL (HYBRID) MODE
ATTENDANCE CUM ORDER SHEET OF THE HEARING HELD ON
05-08-2024 AT **10:30 AM**

CA (CAA) No. 25/230/HDB/2024
u/s. 230 of Companies Act, 2013

IN THE MATTER OF:
M/s. Tianish Laboratories Pvt Ltd (Transferor Company) & M/s. Matrix Pharma Pvt Ltd., (Transferee Co.,) **…Petitioner**

C O R A M:-
DR. VENKATA RAMAKRISHNA BADARINATH NANDULA, HON'BLE MEMBER (JUDICIAL)
SH. CHARAN SINGH, HON'BLE MEMBER (TECHNICAL)

O R D E R

Orders pronounced. In the result, **CA (CAA) No. 25/230/HDB/2024 is allowed**, subject to the directions mentioned in the order.

Sd/-
MEMBER (T)

Sd/-
MEMBER (J)

Swapna

IN THE NATIONAL COMPANY LAW TRIBUNAL
HYDERABAD BENCH, HYDERABAD-1

CA (CAA) NO.25/230/HDB/2024
U/s 230 to 232 of the Companies Act, 2013

IN THE MATTER OF

TIANISH LABORATORIES PRIVATE LIMITED
(CIN U21001TS2023PTC171372)
(TRANSFEROR COMPANY)
WITH

MATRIX PHARMA PRIVATE LIMITED
(CIN U33110TG2022PTC167288)
(TRANSFEREE COMPANY)
AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

1. Tianish Laboratories Private Limited
   Having registered office at Plot No.564/A/22 Road No.92, Jubilee Hills, Film Nagar, Shaikpet, Hyderabad – 500096, Telangana, India.
   Represented by its director Mr. Jyothibasu Abbineni

   …. Applicant No. 1/ Transferor Company

2. Matrix Pharma Private Limited,
   Having registered office at 104, Srinivasa towers, 6-3-1187, Green Lands, Begumpet, Hyderabad, Secunderabad – 500016, Telangana, India.
   Represented by its director Mr. Pranav Gunupati Venkata Reddy

   …. Applicant No. 2/ Transferee Company

DATE OF ORDER:05.08.2024

CORAM: -

Dr. Venkata Ramakrishna Badarinath Nandula, Hon'ble Member (Judicial)
Shri Charan Singh, Hon'ble Member (Technical)

Counsels / Parties Present

For the Applicants: Mr. Naresh Kumar Sangam, Counsel

PER BENCH

1. This is an Application filed by the Applicant Companies under Sections 230 to 232 read with Companies (Compromises, Arrangements and Amalgamations), Rules 2016 by inter-alia seeking to dispense with the requirement of holding the meeting of the equity shareholders and Secured Creditors of Applicant No.1 and Applicant No.2 Companies, dispensing with the meetings of Unsecured Creditors of the of the Applicant No.2 Company and convening of the meeting of the Unsecured Creditors of the Applicant No.1 Company.

2. The averments made in the application are briefly described as under:

a. The Applicant No.1/ Transferor Company was incorporated under the name and style of 'Mylan Drugs India Private Limited'

on 25th March 2023. The name of the Transferor Company was changed to Tianish Laboratories Private Limited (CIN U21001TS2023PTC171372) on 22nd June, 2023.

b. The main objects of the Applicant No.1/Transferor Company are:

i. To manufacture, import, export, buy, sell, distributed and deal in bulk drugs, Finished drugs and Pharmaceuticals, Fine Pharmaceuticals, Chemicals, Fine Chemicals, Enzymes, Anti Tuberculosis Agents Ayurvedic, Unani and Cosmetics.
ii. To establish laboratory facilities for the Company's own purpose or other use.
iii. To do all kinds of consultancy services in Pharmaceuticals and carry on research, to do loan licensing manufacturing act as advisers for such of those Industrial organizations and research laboratories who may desire to utilize these services in Pharmaceuticals.
iv. To acquire or invent any secret formula know-how, Manufacturing process and or design of plant equipment for the Manufacture of Drugs, Pharmaceuticals, Chemicals, Food Product's and Install, erect the plant and run the plant for the Company's use or handover transfer the unit to entrepreneur Industrialist or businessmen who has contracted with the company of the above services.
v. To purchase, lease or otherwise acquire, establish, maintain, operate, run, manage or administer hospitals, medicare, nursing homes, health care, diagnostic, health aids, and research centers. To provide medical relief to the public in all branches of medical schemes by all available means.

A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Applicant No.1/Transferor Company are annexed **as Annexure 1 at page 43 to 84** to the application.

c. The Authorised Share Capital of the Transferor Company is Rs.1,20,00,000/- (Rupees One Crore Twenty Lakhs only) divided

into 12,00,000 (Twelve Lakhs) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid-up share capital of the Transferor Company is Rs. 1,00,00,510/- (Rupees One Crore Five Hundred and Ten only) divided into 10,00,051 (Ten Lakhs and Fifty One) Equity Shares of Rs.10/- (Rupees Ten only) each.

d. The financial summary of the Applicant No.1/Transferor Company as on 03.06.2024 is given below:

Particulars	**Amount Rs. in Millions**
EQUITY AND LIABILITIES:	
Share Capital	10.00
Other Equity	33347.46
Non-Current Liabilities	
Financial Liabilities	145.28
Provisions	359.33
Current Liabilities	
Financial Liabilities	9898.08
Other Current Liabilities	190.78
Provisions	655.31
TOTAL	**44606.24**
ASSETS:	

Non-Current Assets	
Property, Plant and Equipment	14,352.68
Right of Use assets	251.14
Capital Work in progress	997.71
Other tangible assets	76.62
Financial Assets	281.78
Other non-current assets	77.82
Income Tax assets	9.92
Current Assets	
Inventories	21509.91
Financial Assets	5613.69
Other Current Assets	1435.67
TOTAL	**44606.24**

Copy of the Un-audited Financial Statements as at 31.03.2024 of the Applicant No.1/Transferor Company is annexed as **Annexure 2 at page 85 to 106** of the Application and Un-audited Financial Statements as at 03.06.2024 of the Applicant No.1/Transferor Company is annexed as **Annexure 3 at page 107 to 129** of the Application.

e. The Applicant No.2/Transferee Company viz., Matrix Pharma Private Limited (CIN U33110TG2022PTC167288) is a

Company incorporated under the provisions of the Companies Act, 2013 on 7th October 2022.

f. The main objects of the Applicant No.2/Transferee Company are:

i. To carry on in India or anywhere in the world, the business of manufacturing, developing, producing, buying, selling, importing, exporting, trading (online or offline), agency, testing, distributing, consigning, stocking, registering, packing, marketing, refining, processing of and generally dealing in all types of (a) chemicals, pharmaceuticals, biopharmaceuticals, bio therapeutics, biochemical, patent medicines, drugs, materials and supplements, ophthalmic products, all types of active pharmaceutical ingredients (API), biological products, medicinal products, over the counter drugs and products, biosimilar, derivatives and by products thereof and products to be made therefrom, (b) healthcare, nutrition, dietary, wellness, food, dairy, personal hygiene and other products for health, beauty and cosmetic purposes and (c) substances of monoclonal antibodies, toilet requisites, cleansing compounds, acids, salts, oils, dyes, paints, pigments, varnishes, clinical products, minerals, alkalis, tannins, pesticides, industrial and other preparations or any other similar products relating to drug and allied industries in any form including but not limited to, essence, serum, dentifrice, lotion, liquid, gaseous spray, aerosol, extract, grease, cream, salve, ointment, pomade, powder or unguents.

ii. To establish, run, maintain and operate in India or anywhere in the world, laboratory facilities, chemists and druggists shops, dispensaries, hospitals, nursing homes, diagnostic centres, mobile medical service centres, medical camps, medical education & training programs, pathology centres, radiology centres, factories, laboratories and to manufacture, import, export or deal in artificial eye and limb, prosthetics, corset, bandage, crutches, wheelchairs and stretchers or carriage, and providers of all requisites for hospitals and patients.

iii. To carry on or provide services pertaining to testing of products, chemicals, pharmaceutical ingredients or items of similar nature, or to conduct clinical and bio-equivalence studies, or to undertake tests and experiments, scientific and technical investigations, analytical, research and innovation work of all kinds and descriptions in India or abroad in connection with the business of the Company.

iv. To access, process, trade and transfer technology in the field of Life Sciences, Tissue Culture, Molecular Biology, Agro and Immune Technology, Bioinformatics, Geonomics, Proteomics, R & D, both basic and applied as well as contract development in the above relevant fields and to distribute, market, sell or assign the intellectual property rights or the technology in respect of the products or processes or patented process, of the pharmaceuticals of every description, biotechnological and biochemical processes developed to any other individual, firm, body corporate for a lump sum payment, royalty, technical fees, know-how fees or any other fee etc.

A copy of the Certificate of Incorporation, Memorandum and Articles of Association of the Applicant No.2/Transferee Company is annexed as **Annexure 4 at 130 to 160** of the Application.

g. The Authorised Share Capital of the Transferee Company is Rs.30,00,00,00,000/- (Rupees Three Thousand Crores only) divided into 300,00,00,000/- (Three Hundred Crores) Equity Shares of Rs.10/- (Rupees Ten only) each. The Present issued, subscribed and paid-up share capital of the Transferee Company is Rs.11,85,36,00,000/- (Rupees One Thousand One Hundred

and Eighty Five Crores Thirty Six Lakhs only) divided into 118,53,60,000 (One Hundred and Eighteen Crores Fifty Three Lakhs Sixty Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each.

h. The financial summary of the Applicant No.2/Transferee Company as on 31.03.2024 is given below:

Particulars	**Amount Rs. in millions**
EQUITY AND LIABILITIES:	
Share Capital	11853.60
Reserves and Surplus	(695.23)
Non-Current Liabilities	
Long term borrowings	22200.00
Current Liabilities	
Short term borrowings	5750.00
Other Current liabilities	1582.91
TOTAL	**40.691.28**
ASSETS:	
Non-Current Assets	
Property, Plant and Equipment	0.14
Financial Assets	36639.04
Deferred Tax asset	21.93
Current Assets	

Cash and Cash Equivalents	3878.70
Short terms loans and advances	0.004
Other Current Assets	151.47
TOTAL	**40691.28**

Copy of the un-audited financial statements of the Applicant No.2/Transferee as on 31.03.2024 is annexed as **Annexure 5 at page 161 to 169** to the Application and unaudited financial statements as on 03.06.2024 of Applicant No.2/Transferee Company is annexed as **Annexure 6 at page 170 to 178** to the Application.

3. The Board of Directors of the Applicant Companies in their meeting held on 04.07.2024 have approved the Scheme of Amalgamation, subject to the approval/directions of this Hon'ble Tribunal, and such other approvals as may be required. Copy of the Scheme of Amalgamation is annexed as **Annexure -7 at page 179 to 195** to the Application. Certified copy of the Board Resolution of Applicant No.1/Transferor Company is at **page 202 to 204**. Certified copy of the Board Resolution of Transferee Company is at **page 196 to 199**.

4. RATIONALE OF THE SCHEME OF AMALGAMATION:

a. The Transferee Company (i.e. Matrix) has recently acquired 100% shares of the Transferor Company (i.e. Tianish) on 3rd June 2024, with the intention to acquire the business of Transferor Company.

b. The Transferor Company is a wholly owned subsidiary of the Transferee Company and is engaged in the business of manufacturing Active Pharmaceutical Ingredients (API).

c. Transferee Company's acquisition of the API business of Transferor Company, through share acquisition, would help Transferee Company to grow API business, expanding and strengthening Matrix's foothold in the API segment. Though the acquisition of Transferor Company was through acquisition of shares to facilitate smooth transition of control and management, the intention of the Transferee Company was always to integrate the businesses of the Transferor Company with itself once the share acquisition process was completed.

d. After having carefully considered the operational and financial synergies in the Transferor Company and the Transferee Company, the respective Boards of the companies have in their

wisdom thought fit and prudent to consolidate the operations of Transferor Company into that of the Transferee Company through the medium of Amalgamation. Further the management considers that the following benefits will accrue on account of the Amalgamation:

a) Greater efficiency in overall combined business including economies of scale, efficiency of operations, efficient cash flow management eliminating inter-corporate dependencies.
b) Reduction in the number of companies and regulatory compliances thereof;
c) Streamlining the holding structure;
d) Ease of management;
e) Integration and efficiency of operations, economies of scale and financial position, optimum usage of common resources like infrastructure, manpower, administration etc., which will substantially reduce the costs and attain economies of scale.
f) Reduction of overheads including administrative, managerial and other expenditure, optimal utilization of resources;
g) Greater financial strength and flexibility for the merged entity. Optimum and need based efficient deployment of funds of the merged entity. Integration of Transferor Company into Transferee Company would lead to more efficient usage of capital, improved financial structure, which will create a strong asset base for the merged entity.

h) Substantial reduction of compliance costs and ensuring simple & efficient compliance structure for the merged entity.

i) Realignment and consolidation of business in efficient manner and building strong capability to effectively meet future challenges in the present competitive business environment:

j) Synergies in operational process and creation of efficiencies as well as optimization of operation expenditure.

k) Increase in competitive strength, improvement in the financial managerial and technical capabilities.

5. It is averred that the Applicant No.1/Transferor Company has two shareholders. Certificate of Chartered Accountant, C. Maruti Nagendram certifying the list of shareholders of the Applicant No.1/Transferor Company is annexed as **Annexure 9 at page 208 and 209** to the Application. Both the shareholders of the Applicant No.1/Transferor Company have given their consent. Copies of the Affidavits of shareholders of Applicant No.1/Transferor Company are annexed as **Annexure 10 at page 210 to 214** to the Application.

6. It is averred that the Applicant No.1/Transferor Company does not have any Secured Creditor. The Applicant No. 1/Transferor Company has 727 Unsecured Creditors to the tune of

Rs.673,99,10,351/-. Certificate of Chartered Accountant, C. Maruti Nagendram certifying the list of Secured Creditors and Unsecured Creditors of Applicant No.1/Transferor Company is annexed as **Annexure 11 at page 215 to 235** to the Application. Thus, Applicant No. 1/Transferor Company seeks to convene the meeting of its Unsecured Creditors.

7. It is averred that the Applicant No.2/Transferee Company has two shareholders. Certificate of Chartered Accountant, C. Maruti Nagendram certifying the list of shareholders of the Applicant No.2/Transferee Company is annexed as **Annexure 12 at page 236 and 237** to the Application. Both the shareholders of the Applicant No.2/Transferee Company have given their consent. Copies of the Affidavits of shareholders of Applicant No.2/Transferee Company are annexed as **Annexure 13 at page 238 to 242** to the Application.

8. It is averred that the Applicant No.2/Transferee Company has one Secured Creditors to the tune of Rs.1965,00,00,000/-, The Transferee Company has Two Unsecured Creditors to the tune of Rs.904,28,24,002/-. Certificate of Chartered Accountant C. Maruti Nagendram certifying the list of Secured Creditors and Unsecured

Creditors of Applicant No.2/Transferee Company is annexed as **Annexure 14 at page 243 to 246** to the Application. The Only Secured Creditors of the Transferee Company have given its consent. Consent Affidavit of the Secured Creditor of the Transferee Company is annexed as **Annexure 15 at page 247 to 250**. Both the Unsecured Creditors of the Transferee Company have given their consent. Consent Affidavits of the Unsecured Creditors of the Transferee Company are annexed as **Annexure-16 at page 251 to 260**.

9. COMPLIANCE OF ACCOUNTING STANDARD

It is averred that the Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standards prescribed under Section 133. Certificates under Section 133 of the Companies Act, 2013 issued by Statutory Auditors of the Applicant No.2 Company is annexed as **Annexure-17 at page 261 to 265.**

10. CONSIDERATION

a. Transferor Company is a wholly owned subsidiary of the Transferee Company, and its entire share capital is held by the Transferee Company and its nominees. Accordingly, upon the Scheme becoming effective, the entire share capital of the Transferor Company shall stand cancelled without any further

applications, acts, or deeds and there would be no issue and allotment of shares of the Transferee Company to the shareholders of the Transferor Company pursuant to the amalgamation of Transferor Company with Transferee Company.

b. Upon the Scheme becoming effective, the shares or the share certificates of the Transferor Company in relation to the shares held by the Transferee Company, as the case may be without any further application, acts, or deeds, be deemed to have been automatically cancelled and be of no effect without any necessity of them being surrendered.
c. The investments in the shares of the Transferor Company appearing in the books of accounts of the Transferee Company shall, without any further act, deed or instrument, stand cancelled

Copy of the Valuation Reports is annexed as **Annexure 18 at page 266 to 271** to the Application.

11. DECLARATION BY THE APPLICANT COMPANIES

a. No petition under Sections 397 or 398 of the Companies Act, 1956 or Section 241 to 244 of the Companies Act, 2013 has been filed against the Applicants and there has been no material change in the affairs of the Applicants, except for what was done in the normal course of business.

b. There are no proceedings pending under Section 235 to 251 of the Companies Act, 1956 or under Section 210 to 227 of the Companies Act, 2013 against the Applicants.

c. The Directors of the Applicants have no material interest in the proposed Scheme of Amalgamation except as shareholders in general.

12. We have heard the Learned Counsel for Applicant Companies and perused the documents filed. This is the first stage joint Application seeking for dispensation of meetings of Shareholders of Applicant Companies, dispense with the meeting of Secured Creditor of Applicant No.2/Transferee Company, dispensation of meetings of Unsecured Creditors of the Applicant No.2 and convening of the meeting of the Unsecured Creditors of Applicant No.1/Transferor Company for the Scheme of Amalgamation.

*Section 230 (i) of Companies Act, 2013 contemplates holding of meeting unless 90% of the Creditors gave consent by way of Affidavits to dispense with meetings. In this case, the shareholders, secured creditors and un secured creditors of the Applicant Company have not given consent by way of Affidavits to dispense with meetings Applicant Companies. Section 230(9) of Companies Act, 2013 provides that 90% of the Creditors to give consent for dispensing with convening of meetin*g.

The proposed scheme in question prima facie satisfies fundamental requirements for its sanction, subject to approval of this Tribunal. The Applicant Companies stated to be following all provisions of Companies Act, 2013, and rules made thereunder. In any case, dispensing with meeting in question would not deprive any aggrieved party to approach this Tribunal at any point of time, when the approval of scheme in question finally come for consideration. We observe that the Companies have filed un-audited financial statements for the financial year 2023-2024 and also balance sheet as on 03.06.2024, but no audited statements are filed with the Application. Therefore, we direct the Company to file latest audited financial statements before final approval of the Scheme. Further at request of the Applicant Companies the following order is passed.

13. **ORDER**

After hearing the Learned Counsel and after perusing the documents filed, we here by pass the following order:

1. Dispense with convening the meeting of the Shareholders of the Transferor Company and Transferee Company.

2. Dispense with the meetings of Secured Creditors and Unsecured Creditors of Transferee Company.

3. The Meeting of Unsecured Creditors of the Applicant No.1/Transferor Company will be held on Saturday 28th September, 2024 at 11.30 A.M. at Nova Conference Hall, Avasa Hotel, Plot No. 15, 24, 25 & 26, Sector-1, HUDA Techno Enclave, HITEC City, Hyderabad – 500081, Telangana and appoint Mr.Amir Bavani, Advocate (Mobile No +919949216962) as Chairperson and A.Vaishnavi, Advocate (Mobile No 77993 22769) as Scrutinizer of the aforesaid meetings. The remuneration of Chairperson is fixed at Rs 1,50,000/- and that of the scrutinizer is fixed at Rs1,00,000./- for above meeting.

4. The quorum be fixed as per Section 103 of Companies Act, 2013.

5. The Advertisement of notice of meeting of Unsecured Creditors of Applicant No.1/Transferor Company in accordance with rule 7 shall be published in “Business Standard”, English Daily, Hyderabad Edition and one in “Nava Telangana” Telugu Daily, Hyderabad Edition.

6. The Unsecured Creditors whose meetings are convened can exercise their votes at their respective meetings either person or by proxy or by authorized representative.

7. The Applicant No.1/Transferor Company or its authorized Signatory is directed to issue notices (s) to its Unsecured Creditors whose meeting is convened, by Registered Post/ Courier/Ordinary Post/ Registered email to their last known address 30 days before the said meetings as per Form No. CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuring convening the said meeting of the Unsecured Creditors of Applicant No.1/Transferor Company. Further directed to intimate day, date and time, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

8. The Applicant Companies to serve notices upon the Statutory Authorities and Sectoral Regulators pursuant to Section 230 (5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 if

no response is received by the Tribunal from Statutory Authorities or Sectoral Regulators within 30 days of the date of receipt of the notice, it will be presumed that the Statutory Authorities or Sectoral Regulators has no objection to the proposed Scheme as per Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

9. The Chairperson shall have all powers under the Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 in relation to the conduct of the meetings (s) including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the Scheme or resolution, if any, proposed at the meeting by any person (s).

10. The voting shall be in person or by proxy or authorized representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule

10 of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016.

11. The Chairperson to file affidavit within 7 days before the date of the said meetings to this Tribunal that the direction regarding convening and issuance of notice (s) to all the necessary parties have been duly complied with in conformity with the relevant provisions of the Companies Act, 2013 R/w Companies (Compromise, Arrangement and Amalgamation) Rules, 2016. The Chairman shall report the conclusion of the aforesaid meetings within 10 days from the date of such meetings as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

12. Accordingly, the Company Application C.A. (CAA) No. 25/230/HDB/2024 is allowed and the same is disposed.

-SD-

Charan Singh
Member Technical

-SD-

Dr. Venkata Ramakrishna Badarinath Nandula
Member Judicial

Pavani